

Set Protocol also has a *Social Trading* feature in which a user can purchase a Set whose portfolio is restricted to certain assets with reallocations controlled by a single trader. Because these portfolios are actively managed, they function much more like active mutual funds or hedge funds. The benefits are similar in that the portfolio manager has a predefined set of assets to choose from, and the users benefit from this contract-enforced transparency.

For example, a portfolio manager for a Set has a goal to “buy low and sell high” on ETH. The only assets they can use are ETH and USDC, and the only allocations they are allowed are 100 percent ETH and 100 percent USDC. At their sole discretion, they can trigger a contract function to rebalance the portfolio entirely into one asset or the other; this is the only allocation decision they can make. Assume they start with 1,000 USDC. The price of ETH dips to 100 USDC/ETH and they decide to buy. They can trigger a rebalance to have 10 ETH in the Set. If the price of ETH doubles to \$200, the entire Set is now worth \$2,000. A shareholder who owns 10 percent of the Set can redeem their shares for 1 ETH.

Sets could democratize wealth management in the future by being more peer to peer, allowing fund managers to gain investment exposures through non-traditional channels, and giving all investors access to the best managers. A further enhancement many Sets take advantage of is that their components use cTokens, the Compound-invested version of tokens. Between rebalances, tokens earn interest through